

# Auditor's Report

WUYIGE[2018] 2-00544

## Hubei Granules-Bioclause Pharmaceutical Co.,Ltd.:

### 1 Opinion

We have audited the financial statements of the Hubei Granules-Bioclause Pharmaceutical Co., Ltd. (hereinafter referred to as the "Company"), including the Balance Sheet as of December 31, 2017, and the Income Statement, the Cash Flow Statement, the Statement of Changes in Shareholders' Equity, and the Notes to Financial Statements for the Fiscal Year 2017.

In our opinion, the Company's financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2017, and the results of its operations and cash flows in the Fiscal Year 2017 in conformity with the requirements of the Accounting Standards for Business Enterprises.

### 2 Basis of Forming the Audit Opinion

We conducted the audit in accordance with the Chinese Certified Public Accountant Auditing Standards. The "CPA's Responsibility for Auditing Financial Statements" section of the audit report further elaborated our responsibilities under these guidelines. According to the Chinese Certified Public Accountants Code of Ethics and Professional Conduct, we are independent of your company and have performed professional ethics duties.

We believe that the audit evidence obtained by us is sufficient and appropriate to provide a basis for our audit opinion.

### 3 Management's Responsibility for the Financial Statements

The management is responsible for preparing the financial statements in accordance with the requirements of the Accounting Standards for Business Enterprises to ensure that the statements fairly reflect the financial situation of the Company. In addition, the management shall implement and maintain necessary internal controls so that there are no material misstatements due to fraud or errors in the financial statements.

When preparing the financial statements, the management is responsible for assessing the Company's ability to continue as a going concern, disclosing issues related to going concern (if applicable), and

applying the going concern assumption, unless management plans to liquidate the Company, terminate the Company's operations or has no other choice in reality.

The governance team is responsible for overseeing the company's financial reporting process.

#### **4 Auditor's Responsibility**

The audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditors' judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making these risk assessments, the auditors consider internal control relevant to the entity's preparation and fair presentation of the financial statements to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. The audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management and evaluating the overall presentation of the financial statements.

Our objective is to obtain reasonable assurance as to whether the entire financial statements are free from material misstatement due to fraud or error and to issue an audit report containing audit opinions. Reasonable assurance is a high level of assurance, but it does not guarantee that when an audit is conducted in accordance with the standards it can be always discovered when a major misstatement exists. Misstatement may be caused by fraud or mistakes; and if a reasonably expected misstatement alone or aggregated with other misstatements may affect the economic decision made by users of financial statements based on the financial statements, the misstatements is generally considered to be material.

In the process of conducting audit work in accordance with the auditing standards, we use professional judgment and maintain professional suspicion. Meanwhile, we also perform the following tasks:

1. Identifying and assessing risk of material misstatement of financial statements due to fraud or errors, designing and implementing audit procedures to address these risks, and obtaining adequate and appropriate audit evidence as a basis for issuing an audit opinion. Since fraud may involve collusion, falsification, intentional omission, misrepresentation or override of internal control, the risk of failing to detect a material misstatement due to fraud is higher than the risk of failing to detect a material

misstatement due to an error.

2. Understanding the Company's internal control procedures related to the audit to design appropriate audit procedures, but the purpose of this is not to express an opinion on the effectiveness of the internal control procedures.

3. Evaluating the appropriateness of accounting policies adopted by management and reasonableness of accounting estimates and related disclosures.

4. Concluding on the appropriateness of management's use of the ongoing concern assumption. Meanwhile, the audit evidence obtained may lead to conclusions as to whether there are significant uncertainties in the matters or circumstances that could lead to major doubts about the company's ability to continue to operate. If we conclude that there are significant uncertainties, the auditing standards require us to request in the audit report the users of the report to pay special attention to the relevant disclosures in the financial statements; if the disclosure is not sufficient, we shall publish a non-unqualified opinion. Our conclusions are based on the information available as of the date of the audit report. Future events or circumstances may cause the company to cease to continue to operate.

5. Evaluating the overall presentation, structure, and content (including disclosures) of the financial statements and evaluate whether the financial statements fairly reflect relevant transactions and events.

We communicate with the governance team on the planned audit scope, timing, and major audit findings, including communication of internal control deficiencies that we identified during the audit.

WUYIGE Certified Public Accountants LLP.

(Special General Partnership)

[Seal: WUYIGE Certified Public Accountants

LLP. 1101080210400]

Certified Public Accountant (China): REN Zhichao [Signature and Seal]

Certified Public Accountant (China): LIAO Mei [Signature and Seal]

Beijing · China  
March 29, 2018

**HUBEI GRANULES-BIOCAUSE PHARMACEUTICAL CO., LTD.**

## **Auditor's Report**

**WUYIGE [2018] 2-00544**

WUYIGE CERTIFIED PUBLIC ACCOUNTANTS LLP. (Special General Partnership)

## Balance Sheet

Hubei Granules-Bioclause Pharmaceutical Co., Ltd.      December 31, 2017

(in RMB ¥)

| Item                                                  | Notes to Financial Statements | Ending Balance | Beginning Balance |
|-------------------------------------------------------|-------------------------------|----------------|-------------------|
| Current assets:                                       |                               |                |                   |
| Cash and cash equivalents                             | 5 (1)                         | 31,068,349.21  | 52,069,610.11     |
| Financial assets at fair value through profit or loss |                               |                |                   |
| Financial derivatives assets                          |                               |                |                   |
| Notes receivable                                      | 5 (2)                         | 4,126,303.74   | 3,030,530.00      |
| Accounts receivable                                   | 5 (3)                         | 56,074,965.65  | 29,002,002.94     |
| Prepaid accounts                                      | 5 (4)                         | 3,598,938.54   | 2,188,740.30      |
| Interest receivable                                   |                               |                |                   |
| Dividends receivable                                  |                               |                |                   |
| Other receivables                                     | 5 (5)                         | 7,602,403.95   | 3,623,488.20      |
| Inventories                                           | 5 (6)                         | 48,346,859.44  | 22,777,725.98     |
| Assets held for sale                                  |                               |                |                   |
| Current portion of non-current assets                 |                               |                |                   |
| Other current assets                                  | 5 (7)                         | 4,354,318.15   | 326,182.91        |
| Total current assets                                  |                               | 155,172,138.68 | 113,018,280.44    |
| Non-current assets:                                   |                               |                |                   |
| Available for sale financial assets                   |                               |                |                   |
| Held-to-maturity investments                          |                               |                |                   |
| Long-term accounts receivable                         |                               |                |                   |
| Long-term equity investment                           |                               |                |                   |
| Investment real estate                                |                               |                |                   |
| Fixed assets                                          | 5 (8)                         | 24,685,351.84  | 23,153,525.02     |
| Construction work-in-progress                         | 5 (9)                         | 7,877,393.45   | 1,213,216.49      |
| Construction materials                                |                               |                |                   |
| Disposal of fixed assets                              |                               |                |                   |
| Productive biological assets                          |                               |                |                   |
| Oil and gas assets                                    |                               |                |                   |
| Intangible assets                                     | 5 (10)                        |                | 875,332.96        |
| Research and development expenditure                  |                               |                |                   |
| Goodwill                                              |                               |                |                   |
| Long-term deferred expenses                           |                               |                |                   |
| Deferred income tax assets                            | 5 (11)                        | 271,888.40     | 145,356.46        |
| Other non-current assets                              | 5 (12)                        | 293,223.79     |                   |
| Total non-current assets                              |                               | 33,127,857.48  | 25,387,430.93     |
| Total assets                                          |                               | 188,299,996.16 | 138,405,711.37    |

Legal Representative:

Chief Accountant:

Head of Accounting Department:

# Balance Sheet - Continued

Hubei Granules-Bioclause Pharmaceutical Co., Ltd.

December 31, 2017

(in RMB ¥)

| Item                                                       | Notes to Financial Statements | Ending Balance | Beginning Balance |
|------------------------------------------------------------|-------------------------------|----------------|-------------------|
| Current liabilities:                                       |                               |                |                   |
| Short-term borrowings                                      |                               |                |                   |
| Financial liabilities at fair value through profit or loss |                               |                |                   |
| Financial derivatives liabilities                          |                               |                |                   |
| Notes payable                                              |                               |                |                   |
| Accounts payable                                           | 5 (13)                        | 21,055,217.85  | 9,131,748.17      |
| Unearned revenue                                           | 5 (14)                        | 8,521,483.36   | 1,418,204.76      |
| Wages payable                                              | 5 (15)                        | 2,151,711.61   | 2,120,816.21      |
| Tax payable                                                | 5 (16)                        | 2,793,064.32   | 3,987,531.07      |
| Interest payable                                           |                               |                |                   |
| Dividends payable                                          |                               |                |                   |
| Other payables                                             | 5 (17)                        | 11,982,127.81  | 7,535,705.24      |
| Liabilities held for sale                                  |                               |                |                   |
| Current portion of non-current liabilities                 |                               |                |                   |
| Other current liabilities                                  |                               |                |                   |
| Total current liabilities                                  |                               | 46,503,604.95  | 24,194,005.45     |
| Non-current liabilities                                    |                               |                |                   |
| Long-term borrowings                                       |                               |                |                   |
| Bonds payable                                              |                               |                |                   |
| Long-term payables                                         |                               |                |                   |
| Long-term wages payable                                    |                               |                |                   |
| Special payable                                            |                               |                |                   |
| Estimated liabilities                                      |                               |                |                   |
| Deferred income                                            | 5 (18)                        | 271,884.49     |                   |
| Deferred income tax liabilities                            |                               |                |                   |
| Other non-current liabilities                              |                               |                |                   |
| Total non-current liabilities                              |                               | 271,884.49     |                   |
| Total liabilities                                          |                               | 46,775,489.44  | 24,194,005.45     |
| Equity:                                                    |                               |                |                   |
| Paid-in capital                                            | 5 (19)                        | 66,000,000.00  | 66,000,000.00     |
| Other equity instruments                                   |                               |                |                   |
| Capital surplus                                            | 5 (20)                        | 45,604.99      | 45,604.99         |
| Less: Treasury stocks                                      |                               |                |                   |
| Other comprehensive income                                 |                               |                |                   |
| Special reserve                                            |                               |                |                   |
| Surplus reserve                                            | 5 (21)                        | 7,885,851.49   | 5,154,571.41      |
| Undistributed profits                                      | 5 (22)                        | 67,593,050.24  | 43,011,529.52     |
| Total equity                                               |                               | 141,524,506.72 | 114,211,705.92    |
| Total liabilities and equity                               |                               | 188,299,996.16 | 138,405,711.37    |

Legal Representative:

Chief Accountant:

Head of Accounting Department:

## Income Statement

Hubei Granules-Bioclause Pharmaceutical Co., Ltd.

Fiscal Year 2017

(in RMB ¥)

| Item                                                                            | Notes to Financial Statements | Ending Balance | Beginning Balance |
|---------------------------------------------------------------------------------|-------------------------------|----------------|-------------------|
| 1.Revenue                                                                       | 5 (23)                        | 269,965,391.05 | 232,269,471.96    |
| Less: Cost of goods sold                                                        | 5 (23)                        | 213,022,260.09 | 175,947,654.11    |
| Business taxes and surcharges                                                   | 5 (24)                        | 2,091,426.50   | 1,444,553.77      |
| Sales expenses                                                                  |                               | 6,088,424.00   | 6,919,095.12      |
| Administrative expenses                                                         |                               | 16,319,819.02  | 18,268,823.80     |
| Financial expenses                                                              | 5 (25)                        | 2,807,021.42   | -1,069,928.28     |
| Assets impairment losses                                                        | 5 (26)                        | 843,546.25     | -517,146.25       |
| Add: Gain from changes in fair value                                            |                               |                |                   |
| Investment income                                                               |                               |                |                   |
| Including: Investment income from associates and joint ventures                 |                               |                |                   |
| Income from Disposal of Assets                                                  |                               |                | 3,788.80          |
| Other Income                                                                    | 5 (27)                        | 1,692,009.27   |                   |
| 2.Operating profits                                                             |                               | 30,484,903.04  | 31,280,208.49     |
| Add: Non-operating income                                                       |                               | 60,700.00      | 238,800.00        |
| Less: Non-operating losses                                                      |                               | 25,813.05      | 489,118.12        |
| 3.Profits before income tax                                                     |                               | 30,519,789.99  | 31,029,890.37     |
| Less: Income tax expenses                                                       |                               | 3,206,989.19   | 4,914,720.85      |
| 4.Net profit                                                                    |                               | 27,312,800.80  | 26,115,169.52     |
| Gains and losses from continuing operations                                     |                               | 27,312,800.80  | 26,115,169.52     |
| Profit and loss from discontinued operations                                    |                               |                |                   |
| 5.Other comprehensive income, net of tax                                        |                               |                |                   |
| (1) Other comprehensive income that cannot be reclassified into profit and loss |                               |                |                   |
| (2) Other comprehensive income that will be reclassified into profit and loss   |                               |                |                   |
| 6. Total comprehensive income                                                   |                               | 27,312,800.80  | 26,115,169.52     |
| 7.EPS                                                                           |                               |                |                   |
| (1) Basic EPS (¥/Share)                                                         |                               |                |                   |
| (2) Diluted EPS (¥/Share)                                                       |                               |                |                   |

Legal Representative:

Chief Accountant:

Head of Accounting Department:

## Cash Flow Statements

Hubei Granules-Bioclause Pharmaceutical Co., Ltd.

Fiscal Year 2017

(in RMB ¥)

| Item                                                                                       | Notes to Financial Statements | Current Period | Prior Period   |
|--------------------------------------------------------------------------------------------|-------------------------------|----------------|----------------|
| 1. Cash flows from operating activities                                                    |                               |                |                |
| Cash receipts from sale of goods or rendering of services                                  |                               | 184,301,693.05 | 263,068,473.54 |
| Refunds of taxes                                                                           |                               |                | 3,045,899.45   |
| Other cash receipts relating to operating activities                                       |                               | 164,675,649.92 | 153,885,743.54 |
| Subtotal of cash inflows from operating activities                                         |                               | 348,977,342.97 | 420,000,116.53 |
| Cash paid for goods and services                                                           |                               | 110,467,444.39 | 168,668,791.33 |
| Cash paid to and on behalf of employees                                                    |                               | 21,710,725.71  | 20,159,083.89  |
| Payments of all types of taxes                                                             |                               | 12,734,147.28  | 5,554,529.49   |
| Other cash payments relating to operating activities                                       |                               | 217,306,190.95 | 166,832,725.55 |
| Subtotal of cash outflows from operating activities                                        |                               | 362,218,508.33 | 361,215,130.26 |
| Net cash flow from operating activities                                                    |                               | -13,241,165.36 | 58,784,986.27  |
| 2. Cash flows from investing activities                                                    |                               |                |                |
| Cash receipts from return of investments                                                   |                               |                |                |
| Cash receipts from return on investments                                                   |                               |                |                |
| Net cash receipts from sales of fixed assets, intangible assets and other long-term assets |                               |                | 45,606.74      |
| Net cash receipts from disposal of subsidiaries and other business units                   |                               |                |                |
| Other cash receipts relating to investing activities                                       |                               |                |                |
| Subtotal of cash inflows from investing activities                                         |                               |                | 45,606.74      |
| Cash payments to acquire fixed assets, intangible assets and other long-term assets        |                               | 7,760,095.54   | 5,085,559.52   |
| Cash payments to acquire investments                                                       |                               |                |                |
| Net cash payments to acquire subsidiaries or other business entities                       |                               |                |                |
| Other cash payments relating to investing activities                                       |                               |                |                |
| Subtotal of cash outflows from investing activities                                        |                               | 7,760,095.54   | 5,085,559.52   |
| Net cash flow from investing activities                                                    |                               | -7,760,095.54  | -5,039,952.78  |
| 3. Cash flows from financing activities                                                    |                               |                |                |
| Cash proceeds from investment by others                                                    |                               |                |                |
| Cash proceeds from borrowings                                                              |                               |                |                |
| Cash receipts relating to other financing activities                                       |                               | 2,200,115.50   |                |
| Subtotal of cash inflows from financing activities                                         |                               | 2,200,115.50   |                |
| Cash payments for repayments of debts                                                      |                               |                | 20,000,000.00  |
| Cash payments for distribution of dividends or interest expenses                           |                               |                | 576,611.11     |
| Other cash payments relating to financing activities                                       |                               | 2,010,000.00   | 2,200,115.50   |
| Subtotal of cash outflows from financing activities                                        |                               | 2,010,000.00   | 22,776,726.61  |
| Net cash flow from financing activities                                                    |                               | 190,115.50     | -22,776,726.61 |
| 4. Effects of foreign exchange rate changes on cash and cash equivalents                   |                               |                | 1,666,323.75   |
| 5. Net increase in cash and cash equivalents                                               |                               | -20,811,145.40 | 32,634,630.63  |
| Add: Cash and cash equivalents at the beginning of the period                              |                               | 49,869,494.61  | 17,234,863.98  |
| 6. Cash and cash equivalents at the end of the period                                      |                               | 29,058,349.21  | 49,869,494.61  |

Legal Representative:      Chief Accountant:      Head of Accounting Department:

# Statement of Changes in Shareholders' Equity

Hubei Granules-Biocrine Pharmaceutical Co., Ltd.

Fiscal Year 2017

(in RMB ¥)

| Item                                                                           | Current Period  |                          |  |  |                 |                       |                            |                 |                 |                       |                |
|--------------------------------------------------------------------------------|-----------------|--------------------------|--|--|-----------------|-----------------------|----------------------------|-----------------|-----------------|-----------------------|----------------|
|                                                                                | Paid-in capital | Other equity instruments |  |  | Capital surplus | Less: Treasury stocks | Other comprehensive income | Special reserve | Surplus reserve | Undistributed profits | Total Equity   |
| 1. Ending balance of prior year                                                | 66,000,000.00   |                          |  |  | 45,604.99       |                       |                            |                 | 5,154,571.41    | 43,011,529.52         | 114,211,705.92 |
| Add: Changes in accounting policies                                            |                 |                          |  |  |                 |                       |                            |                 |                 |                       |                |
| Correction of prior period errors                                              |                 |                          |  |  |                 |                       |                            |                 |                 |                       |                |
| Other                                                                          |                 |                          |  |  |                 |                       |                            |                 |                 |                       |                |
| 2. Beginning balance of current year                                           | 66,000,000.00   |                          |  |  | 45,604.99       |                       |                            |                 | 5,154,571.41    | 43,011,529.52         | 114,211,705.92 |
| 3. Changes in amount for the current year                                      |                 |                          |  |  |                 |                       |                            |                 | 2,731,280.08    | 24,581,520.72         | 27,312,800.80  |
| (1) Total comprehensive income                                                 |                 |                          |  |  |                 |                       |                            |                 |                 | 27,312,800.80         | 27,312,800.80  |
| (2) Shareholders' contributed or reduction of capital                          |                 |                          |  |  |                 |                       |                            |                 |                 |                       |                |
| a. Shareholders' contributed capital                                           |                 |                          |  |  |                 |                       |                            |                 |                 |                       |                |
| b. Holders of other equity instruments contributed capital                     |                 |                          |  |  |                 |                       |                            |                 |                 |                       |                |
| c. Amount recognized in shareholders' equity in respect of share-based payment |                 |                          |  |  |                 |                       |                            |                 |                 |                       |                |
| d. Other                                                                       |                 |                          |  |  |                 |                       |                            |                 |                 |                       |                |
| (3)Profit distribution                                                         |                 |                          |  |  |                 |                       |                            |                 | 2,731,280.08    | -2,731,280.08         |                |
| a. Appropriation of surplus reserve                                            |                 |                          |  |  |                 |                       |                            |                 | 2,731,280.08    | -2,731,280.08         |                |
| b. Distribution to shareholders                                                |                 |                          |  |  |                 |                       |                            |                 |                 |                       |                |
| c. Other                                                                       |                 |                          |  |  |                 |                       |                            |                 |                 |                       |                |
| (4)Transfers within shareholders' equity                                       |                 |                          |  |  |                 |                       |                            |                 |                 |                       |                |
| a. Transfer from capital surplus to capital                                    |                 |                          |  |  |                 |                       |                            |                 |                 |                       |                |
| b. Transfer from surplus reserve to capital                                    |                 |                          |  |  |                 |                       |                            |                 |                 |                       |                |
| c. Surplus reserve for recovery of losses                                      |                 |                          |  |  |                 |                       |                            |                 |                 |                       |                |
| d. Other                                                                       |                 |                          |  |  |                 |                       |                            |                 |                 |                       |                |
| (5)Special reserve                                                             |                 |                          |  |  |                 |                       |                            |                 |                 |                       |                |
| a. Increase of current year                                                    |                 |                          |  |  |                 |                       |                            |                 |                 |                       |                |
| b. decrease of current year                                                    |                 |                          |  |  |                 |                       |                            |                 |                 |                       |                |
| (6)Other                                                                       |                 |                          |  |  |                 |                       |                            |                 |                 |                       |                |
| 4. Ending balance of the current year                                          | 66,000,000.00   |                          |  |  | 45,604.99       |                       |                            |                 | 7,885,851.49    | 67,593,050.24         | 141,524,506.72 |

Legal Representative:

Chief Accountant:

Head of Accounting Department:

### Statement of Changes in Shareholders' Equity

Hubei Granules-Biocause Pharmaceutical Co., Ltd.

Fiscal Year 2017

(in RMB ¥)

| Item                                                                           | Prior Period    |                          |                 |                       |                            |                 |                 |                       |                |
|--------------------------------------------------------------------------------|-----------------|--------------------------|-----------------|-----------------------|----------------------------|-----------------|-----------------|-----------------------|----------------|
|                                                                                | Paid-in capital | Other equity instruments | Capital surplus | Less: Treasury stocks | Other comprehensive income | Special reserve | Surplus reserve | Undistributed profits | Total Equity   |
| 1. Ending balance of prior year                                                | 66,000,000.00   |                          | 45,604.99       |                       |                            |                 | 2,543,054.46    | 19,507,876.95         | 88,096,536.40  |
| Add: Changes in accounting policies                                            |                 |                          |                 |                       |                            |                 |                 |                       |                |
| Correction of prior period errors                                              |                 |                          |                 |                       |                            |                 |                 |                       |                |
| Other                                                                          |                 |                          |                 |                       |                            |                 |                 |                       |                |
| 2. Beginning balance of current year                                           | 66,000,000.00   |                          | 45,604.99       |                       |                            |                 | 2,543,054.46    | 19,507,876.95         | 88,096,536.40  |
| 3. Changes in amount for the current year                                      |                 |                          |                 |                       |                            |                 | 2,611,516.95    | 23,503,652.57         | 26,115,169.52  |
| (1) Total comprehensive income                                                 |                 |                          |                 |                       |                            |                 |                 | 26,115,169.52         | 26,115,169.52  |
| (2) Shareholders' contributed or reduction of capital                          |                 |                          |                 |                       |                            |                 |                 |                       |                |
| a. Shareholders' contributed capital                                           |                 |                          |                 |                       |                            |                 |                 |                       |                |
| b. Holders of other equity instruments contributed capital                     |                 |                          |                 |                       |                            |                 |                 |                       |                |
| c. Amount recognized in shareholders' equity in respect of share-based payment |                 |                          |                 |                       |                            |                 |                 |                       |                |
| d. Other                                                                       |                 |                          |                 |                       |                            |                 |                 |                       |                |
| (3) Profit distribution                                                        |                 |                          |                 |                       |                            |                 | 2,611,516.95    | -2,611,516.95         |                |
| a. Appropriation of surplus reserve                                            |                 |                          |                 |                       |                            |                 | 2,611,516.95    | -2,611,516.95         |                |
| b. Distribution to shareholders                                                |                 |                          |                 |                       |                            |                 |                 |                       |                |
| c. Other                                                                       |                 |                          |                 |                       |                            |                 |                 |                       |                |
| (4) Transfers within shareholders' equity                                      |                 |                          |                 |                       |                            |                 |                 |                       |                |
| a. Transfer from capital surplus to capital                                    |                 |                          |                 |                       |                            |                 |                 |                       |                |
| b. Transfer from surplus reserve to capital                                    |                 |                          |                 |                       |                            |                 |                 |                       |                |
| c. Surplus reserve for recovery of losses                                      |                 |                          |                 |                       |                            |                 |                 |                       |                |
| d. Other                                                                       |                 |                          |                 |                       |                            |                 |                 |                       |                |
| (5) Special reserve                                                            |                 |                          |                 |                       |                            |                 |                 |                       |                |
| a. Increase of current year                                                    |                 |                          |                 |                       |                            |                 |                 |                       |                |
| b. decrease of current year                                                    |                 |                          |                 |                       |                            |                 |                 |                       |                |
| (6) Other                                                                      |                 |                          |                 |                       |                            |                 |                 |                       |                |
| 4. Ending balance of the current year                                          | 66,000,000.00   |                          | 45,604.99       |                       |                            |                 | 5,154,571.41    | 43,011,529.52         | 114,211,705.92 |

Legal Representative:    Chief Accountant:    Head of Accounting Department



Hubei Granules-Bioclause Pharmaceutical Co., Ltd.

## Notes to Financial Statements

(All amounts in CNY Yuan, unless otherwise stated)

### 1 Company Overview

#### (1) Company Background

Hubei Granules-Bioclause Pharmaceutical Co., Ltd. (hereinafter referred to as “the Company”) is a Chinese-Foreign Equity Joint Venture. Share capital of 66,000,000.00 RMB yuan is registered with the Company, in which Hubei Bioclause Heilen Pharmaceutical Co. and Granules India Limited each holds a 50% equity stake. The Company is registered with the Jingmen Municipal Administration of Industry and Commerce on March 5, 2007.

Legal Representative of the Company: CHENG Zhigang

Business License Registration Number: 914208007987502725

Address of the Company’s Registered Office: No. 122 Yang Wan Road, City of Jingmen, Hubei Province, China

Company Type: Limited Liability Company (Chinese-foreign joint ventures)

The Company's scope of business includes: designing, developing, manufacturing and processing various grades of Ibuprofen API and other innovative products, providing technical support and after-sales services for the above-mentioned products, and promoting and marketing these products. (Legal requirements must be met and approved by authorities before projects and other business activities can be conducted by the Company.)

### 2 Basis of Measurement of the Financial Statements

1. Basis of Measurement: On the basis of the going concern and in reference to actual transactions and events, the Company’s financial statements have been prepared by recognition and measurement methods in accordance with the Accounting Standards for Business Enterprises—Basic Standards, and regulations illustrated in other concrete accounting standards, application guide and principles (hereinafter referred to as the “Accounting Standards for Business Enterprises”), and follow the requirements of the Significant Accounting Policies and Accounting Estimates stated below.

2. Going concern: The Company has the ability to operate for at least 12 months from the end of the reporting period, without any major issue affecting its going concern.

### **3 Significant Accounting Policies and Accounting Estimates Adopted by the Company**

#### **(1) Statement of Compliance with Accounting Standards**

These financial statements prepared by the Company comply with the requirements of the Accounting Standards for Business Enterprises and truly and completely reflect the Company's financial status as of December 31, 2017, the operating results and cash flow of 2017 and other related information.

#### **(2) Fiscal Period**

The Company uses the calendar year as its fiscal year, which starts on January 1 and ends on December 31 each year.

#### **(3) Operating Cycle**

The Company's operating cycle is 12 months in a calendar year, which is also the time period used to distinguish between current and non-current assets and liabilities.

#### **(4) Functional and reporting currency**

The functional and reporting currency of the Company is the RMB Yuan.

#### **(5) Criteria for Cash and Cash Equivalents**

On the Company's financial statements, the term "cash" refers to cash on hand and deposits that are available for payment at any time. The term "cash equivalents" refers to short-term and highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of change in value.

#### **(6) Foreign Currency Transactions and Translation of Foreign Currency Financial Statements**

##### **1. Foreign Currency Transactions**

For foreign currency transactions, the Company uses the approximate exchange rate of the spot exchange rate on the transaction date to translate the financial statements to the functional currency. On the Balance Sheet date, foreign currency monetary items are translated at the spot exchange rate. Differences in Exchange rate due to the difference between the spot exchange rate on the Balance Sheet date and the spot exchange rate on date of the initial recognition or the previous Balance Sheet date, are recorded in Profit and Loss (except for Foreign exchange differences on special foreign currency borrowings capitalized and included in the cost of the relevant assets). Non-monetary items denominated in foreign currencies that are measured at historical cost are still translated at the spot exchange rate on the transaction date, without changing the recording currency amount. Foreign currency non-monetary items measured at fair value are translated at the spot exchange rate of the fair value determination date. The difference between the converted

functional currency amount and the original functional currency amount is treated as change of the fair value (including exchange rate changes), and is included in Profit and Loss of the current period or recognized as Other Comprehensive Income.

#### (7) Financial Instruments

##### 1. Categorization of Financial Instruments

Financial instruments are classified as financial assets or financial liabilities. In such situation where the Company becomes a party to a financial instrument contract, an instrument will be recognized as a financial asset or financial liability.

Financial assets are classified into the following categories at their initial recognition: Financial Assets at Fair Value through Profit or Loss, Held-to-Maturity Investments, Receivables and Available-for-Sale Financial Assets. The classification of financial assets other than Receivables depends on the Company's and its subsidiaries' intentions and ability to hold the financial assets. Financial liabilities are initially classified as: Financial Liabilities at Fair Value through Profit or Loss and Other Financial Liabilities.

Financial Assets at Fair value through Profit or Loss include the Held-for-Trading Financial Assets held for the purpose of short-term trading, and the Financial Assets at Fair Value through Profit or Loss at Initial Recognition; Receivables are Non-Derivative Financial Assets with fixed or determinable payments and are not quoted in an active market. Available-for-Sale Financial Assets include the Non-Derivative Financial Assets Designated as Available-for-Sale at Initial Recognition and the Non-Derivative Financial Assets not classified as other Non-Derivative Financial Assets. Held-to-Maturity Investments are Non-Derivative Financial Assets with fixed or determinable payments and with management's explicit intentions and ability to hold to maturity.

##### 2. Measurement of Financial Instruments

The Company's financial assets and financial liabilities are initially recognized at their fair value. Subsequent measurement categories are: Financial Assets at Fair Value through Profit or Loss; Available-for-Sale Financial Assets and Financial Liabilities at Fair Value Through Profit or Loss, measured at their fair value; Held-to-Maturity Investments, Loans and Receivables and other financial liabilities, measured at amortized cost; Equity Instrument Investments that has no quoted market price in an active market therefore their fair value cannot be reliably measured, and the Derivative Financial Assets or Derivative Financial Liabilities that are linked to the equity instruments and must be settled by delivery of the equity instrument are measured at cost. Gains or losses arising from the changes in the fair value of the equity instruments,

except for when the instruments are related to hedging, are treated as follows: i) Gains or losses of the Financial Assets or Financial Liabilities at Fair Value through Profit or Loss arising from changes in fair value are recorded in Profit and Loss of Changes in Fair Value. ii) Changes in fair value of Available-for-Sale Financial Assets are included in Other Comprehensive Income.

### 3. Recognition of Financial Instruments

If there is an active market, fair value of the financial instrument is determined based on the quoted price in the active market. If there is no active market, valuation techniques are used to determine the fair value of the financial instruments. Valuation techniques include the Market Method, the Income Method and the Cost Method.

### 4. Confirmation of Transfer of Financial Assets and Liabilities and Related Measurement Methods

When almost all the risks and rewards from ownership of the financial asset are transferred, or the Company has neither transferred nor retained almost all the risks and rewards of the ownership of the financial asset but has forfeit its control of the asset, the Company shall exercise derecognition of the asset. If the financial asset meets the criteria for derecognition, the difference between the carrying amount of the transferred financial asset and the sum of the consideration received as a result of the transfer and the cumulative change in the fair value previously recognized in Other Comprehensive Income is recorded in Profit and Loss for the current period. If part of the transfer meets the conditions of derecognition, the entire book value of the transferred financial asset shall be apportioned between its derecognized portion and its unrecognized portion based on their respective relative fair values.

If the current obligations of a financial liability have been discharged in whole or in part, the financial liability or a portion of it shall be derecognized.

### 5. Impairment of Financial Assets

In the event of impairment of financial assets measured at amortized cost, provision for impairment is made based on the difference between the present value of estimated future cash flows (excluding future credit losses that have not yet occurred) and the book value. If there is objective evidence that the value of the financial asset has been recovered and is objectively related to subsequent events after the loss was recognized, the originally recognized impairment loss is reversed and recorded into the current period profit and loss.

When the financial assets measured by cost are impaired, provision for impairment shall be exercised based on the difference between the present value of expected future cash flows (excluding future credit

losses that have not occurred) and the book value. Impairment losses that incurred, once confirmed, will not be reversed.

When there is objective evidence that an Available-for-Sale Financial Asset is impaired, the accumulated losses directly attributable to shareholders' equity resulting from the decrease of fair value are transferred out of the account and recorded as impairment losses. For an Available-for-Sale Debt Instrument investment for which that an impairment loss has been recognized, if its fair value increases and the increase is objectively related to the event that leads to the original impairment loss recognition, the originally recognized impairment loss shall be reversed and recorded in the Profit and Loss of the current period. For an Available-for-Sale for which that an impairment loss has been recognized, fair value of the subsequent increase shall be directly recorded into Shareholders' Equity.

For Equity Instrument Investments, the criteria for measurement, method of calculation for cost, and the determination of fair value at the end of a period for the Company to determine a "severe" or "non-temporary" decline of fair value are as follows:

|                                                      |                                                                                                                                                                                                                                                                       |
|------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Criteria for a “severe” decline of fair value        | The decrease of fair value at the end of the period has reached or exceeded 50% of the cost.                                                                                                                                                                          |
| Criteria for a “non-temporary” decline of fair value | The asset has been declining for 12 consecutive months.                                                                                                                                                                                                               |
| Method of calculation for cost                       | At the time of acquisition, the sum of the consideration paid (excluding cash dividends declared but not yet distributed and/or interest of bonds that have not yet been received) and related transaction costs are recognized as the investment cost.               |
| Determination of fair value at the end of a period   | If the financial instrument is traded on an active market, the fair value is determined by the quoted price in the active market; if there is no active market for the financial instrument, its fair value is determined using valuation techniques.                 |
| Determination of a continuous decline                | If the value of the instrument has been continuously declining and any rebound of value is less than 20% during the period of decline or the duration of the rebound of value lasted less than 6 months, this period is considered as a continuous period of decline. |

#### (8) Receivables

The Company's Accounts Receivable mainly include accounts receivable, long-term receivables and other receivables. If on the Balance Sheet date there is objective evidence indicating that there has been impairment, the Company shall recognize the impairment loss based on the difference between the book value and the present value of estimated future cash flows.

The Company accounts for the possible bad debt losses using the Allowance Method. At the end of the period, the bad debt provision is accrued based on the method of Aging Analysis and the Individual

Recognition Method, and recorded into Profit and Loss of the current period. If there is confirmatory evidence that the receivables cannot be recovered, the receivables shall be accounted for as bad debt after approval by the prescribed procedures. The Company does not make any provision for bad debts of receivables of its subsidiaries in the scope of financial statements consolidation, and for accounts receivable with confirmatory evidence of significant difference in recoverability, bad debts shall be provisioned using the Individual Recognition Method.

#### 1. Individually Significant Accounts Receivable for which Bad Debt Reserve is Provisioned Separately

|                                                                              |                                                                                                                                                                                                                                                                                                                                                       |
|------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Criteria for the recognition of individually significant accounts receivable | Book value of the accounts receivable exceeds 10 million yuan (including 10 million yuan)                                                                                                                                                                                                                                                             |
| Separate provision for individually significant accounts receivable          | If the impairment test is conducted separately, and there is objective evidence that the impairment loss, bad debt reserve is provisioned based on the difference between the present value of future cash flows and the book value; If no evidence of impairment is detected, provisions are done with the account receivable aging analysis method. |

#### 2. Bad Debt Provision by Accounts Receivable Baskets

For Accounts Receivable with individual amounts that are not significant, and the Individually Significant Accounts Receivable that are determined not impaired after being examined separately, bad debts are provisioned by Accounts Receivable baskets.

|                                                    |                                    |
|----------------------------------------------------|------------------------------------|
| Accounts Receivable Baskets                        | Status of Accounts Receivable Age  |
| Method for determining Accounts Receivable baskets | Account Receivables Aging Analysis |

Baskets are determined with Accounts Receivable aging analysis:

| Accounts Receivable Age       | Provision Allowance for doubtful Accounts Receivable (%) | Provision Allowance for doubtful Other Receivables (%) |
|-------------------------------|----------------------------------------------------------|--------------------------------------------------------|
| <1 year (including 1 year)    | 3                                                        | 3                                                      |
| 1-2 years (including 2 years) | 10                                                       | 10                                                     |
| 2-3 years (including 3 years) | 20                                                       | 20                                                     |
| 3-4 years (including 4 years) | 30                                                       | 30                                                     |
| 4-5 years (including 5 years) | 50                                                       | 50                                                     |
| > 5 years                     | 100                                                      | 100                                                    |

### (9) Inventories

#### 1. Classification of Inventories

Inventories refer to the finished products or commodities held by the Company for sale in its day-to-day operating activities, products work-in-progress, and the raw materials consumed in the process of production or the rendering of services. These mainly include Raw Materials, Packaging, Low Value Consumables, Work-In-Progress, Self-Produced Semi-Finished Products, Finished Goods (Inventory of

Goods), etc.

## 2. Inventory Valuation Methods

The Weighted Average Method is used when assigning costs.

## 3. Inventory Impairment Provision Method

At the Balance Sheet date, inventories are measured at the lower of: i) cost and ii) net realizable value, and provisions for impairment of inventories are made on the basis of individual inventory items. For inventories of large quantities and low unit prices, provision for impairment is based on the types of inventories.

## 4. Inventory System

The Company's inventory system is the Perpetual Inventory System.

## 5. Amortization for Low-value Consumables and Packaging

The Company uses the One-off Amortization Method for amortization of Low-Value Consumables and Packaging.

## (10) Long-term Equity Investment

### 1. Initial Recognition of Investment Cost

For a long-term equity investment acquired through mergers, if it is a merger under the same control, the initial cost of the investment shall be recognized based on the share of the book value of the merged party's shareholders' equity; if it is a merger under different control, the initial cost shall be recognized as the cost of merger on the acquisition day; Initial cost of a long-term equity investment obtained through payment of cash is the purchase price actually paid; Initial cost of a long-term equity investment obtained by issuing equity securities is the fair value of the equity securities issued; Initial cost of a long-term equity investment acquired through debt restructuring shall be determined in accordance with the Accounting Standards for Business Enterprises No.12 - Debt Restructuring; Initial cost of a long-term equity investment obtained from exchange of non-monetary assets shall be determined in accordance with related provisions of the Accounting Standards for Business Enterprises.

### 2. Subsequent Measurement and Method for Profit and Loss Recognition

Long-term equity investments with which the investor has control over the investee shall be accounted for using the cost method. Long-term equity investments in associates and joint ventures should be accounted for using the equity method. For investors' equity investments in associates, some of which are indirectly held by venture capital institutions, mutual funds, trust companies or similar entities including investment

insurance funds, irrespective of whether the above entities have a material impact on this portion of the investment, the investor shall, according to related provisions of the "Accounting Standard for Business Enterprises No. 22 - Recognition and Measurement of Financial Instruments", recognize the indirect investment part held as at Fair Value through Profit and Loss, and use the Equity Method for the remaining.

### 3. Criteria for Joint Control and Significant Influence on the Investee

Joint control over an investee means activities that have a significant impact on the return on an arrangement must be agreed upon by the parties sharing the right of control, including the sales and purchases of goods or services, the management of financial assets, the management of purchases and disposals of assets, Research and development activities and financing activities, etc. Significant influence on the investee occurs when the Company holds over 20% and 50% of the voting capital of the investee. The Company holds less than 20% of the total assets of the Company, but has a significant impact when one of the following conditions is met: the Company is represented in the Board of Directors or similar authority of the invested entity; the Company participates in the policy-making process of the invested entity; the Company delivers management personnel to the investee; The invested unit relies on the technology or technical information of the invested entity; and the Company has important transaction with the invested entity.

## (11) Fixed Assets

### 1. Recognition of Fixed Assets

Fixed assets refer to tangible assets held for the purpose of producing goods, providing services, leasing or operation and management, with a useful life of more than one fiscal year. Fixed assets are recognized when both of the following conditions are met: the economic benefits related to the fixed assets are likely to flow into the company, and the cost of the fixed assets can be reliably measured.

### 2. Classification and Depreciation Methods of Fixed Assets

The Company's fixed assets are mainly categorized as: Buildings, Machinery and Equipment, Special Equipment, Transportation Equipment and other equipment. The Straight-line Depreciation Method is used. According to the nature and usage of various types of fixed assets, the service life and expected net residual value of fixed assets are determined. At the end of each year, the service life of the fixed assets, estimated net residual value and depreciation method shall be reviewed. If any discrepancy with the original estimate occurs, corresponding adjustments shall be made. Except for the fixed assets that have been fully depreciated yet still used and land properties separately accounted for, the Company shall account depreciations for all

of its fixed assets.

| Type of Assets           | Estimated Life(Years) | Expected Net Residual Value Rate (%) | Annual Depreciation Rate (%) |
|--------------------------|-----------------------|--------------------------------------|------------------------------|
| Buildings                | 18—38                 | 4                                    | 2.53—5.33                    |
| Machinery and Equipment  | 5—14                  | 4                                    | 6.85—19.20                   |
| Specialty Equipment      | 8—10                  | 4                                    | 9.60—12.00                   |
| Transportation Equipment | 6—8                   | 4                                    | 12.00—16.00                  |
| Other Equipment          | 5—10                  | 4                                    | 9.60—19.20                   |

### 3. Recognition and Valuation of Fixed Assets Acquired under Finance Leases

Fixed Assets Acquired under Finance Leases are leases in which all the risks and rewards related to the ownership of the assets have been transferred. The initial value of Fixed Assets Acquired under Finance Leases shall be the lesser of the fair value of the leased assets at the commencement date of the lease terms and the present value of the minimum lease payment. The subsequent valuation of the Fixed Assets Acquired under Finance Leases shall be consistent with the depreciation and impairment of the Company's own fixed assets.

#### (12) Construction Work-in-Progress

The Company has two types of Construction Work-in-Progress (WIP): Self-constructed and outsourced. In the event that the WIP project is completed and ready for its intended use, it is recognized as fixed assets. The asset is determined as ready for its intended use when it meets one of the following conditions: The physical construction (including installation) of the fixed asset has been completed or substantially completed; The asset has been put into trial production or trial operation and the result indicates that the asset can operate normally or the asset can produce qualified products consistently, or the trial operation indicates that the asset can operate normally or support the operation process; the expenditure associated with the construction of the fixed asset is negligible or will no longer occur; or, the fixed asset constructed has met the requirements of the design or the contract, or in general met the requirements of the design or the contract.

#### (13) Borrowing Cost

##### 1. Principles of Capitalization of Borrowing Cost

The borrowing costs incurred by the Company that can be directly attributed to the acquisition, construction or production of assets are eligible for capitalization and are capitalized and included in the cost

of the relating assets. Other borrowing costs, when incurred, are recognized as an expense based on their amounts and are recorded in the Profit and Loss of the current period. Assets eligible for capitalization refer to assets such as fixed assets, investment real estate and inventories that can only reach the expected usable or salable status with a reasonably long period of construction or production activities.

## 2. Calculation of the Capitalization Amount

The Capitalization period refers to the period from the time when the borrowing costs begin to be capitalized to the time when the capitalization ceases. The period during which there is a temperate suspension on the capitalization of borrowing costs is not included. In the event of an abnormal interruption in the process of purchase, construction or production and the suspension because of the interruption lasts for more than three consecutive months, the capitalization of borrowing costs shall be suspended.

Special borrowings that have been borrowed, the cost is recognized as the actual interest expense of the current borrowings excluding the interest income obtained from depositing the unused borrowed funds into the bank or the investment income obtained from temporary investments; General borrowings' cost is recognized as the weighted average of the amount by which the accumulated capital expenditure exceeds the special borrowings multiplied by the capitalization rate of general borrowings, and the capitalization rate used is the weighted average interest rate of general borrowings. If there is a discount or premium on the borrowings, the amortization amount of the discount or premium is determined based on the Effective Interest Rate Method in each fiscal period to adjust the interest amount for each period.

The Effective Interest Method is a method of calculating the amortized discount, premium and interest expense based on the effective interest rate of the borrowings. The effective interest rate is the rate used to discount the future cash flow of the borrowings over the expected life of the loan to the current book value of the borrowings.

## (14) Intangible Assets

### 1. Valuation of Intangible Assets

The Company's intangible assets are initially measured at cost. The actual cost of the intangible assets acquired shall be recognized as the actual payment with the related expenses. The intangible assets invested by the investors of the Company, their actual cost is determined by the value stipulated in the investment contract or agreement. However, if the value stipulated in the investment contract or agreement is not fair, the actual cost shall be determined at the assets' fair value. The cost of self-developed intangible assets is the total amount of expenses incurred prior to the point that the assets reach their intended use.

The subsequent measurement methods of intangible assets of the Company are as follows: a) Intangible assets with limited service lives are amortized using the straight-line method, and at the end of each year, the service life and amortization method of intangible assets are reviewed. If there is any discrepancy with the original estimate, the service life and amortization method of the intangible assets shall be adjusted. b) Intangible assets with indefinite useful lives are not amortized. However, at the end of the year, the useful life of the intangible assets is reviewed. If there is any confirmatory evidence that the useful life of an intangible asset is limited, the estimated useful life shall be adjusted and the asset shall be amortized on a straight-line basis.

## 2. Basis for Determining Indefinite Useful Lives

The Company categorizes intangibles whose length of the period during which the asset bring economic benefits to the Company cannot be foreseen, or with indefinite useful lives as intangible assets with indefinite useful lives. The useful life is determined to be indefinite when: the asset is derived from contractual rights or other legal rights, but the contract or the law does not specify the useful life; experts in the same or related industry cannot determine the term of economic benefits of the intangible asset.

At the end of each year, service life of an intangible asset with an indefinite useful life shall be re-examined. The bottom-up approach is mainly used for the general review of related departments that use this intangible asset and the assessment of uncertainties as to whether there is any change in the basis for determining the uncertainties.

## (15) Impairment of Long-Term Assets

Long-term equity investment, investment real estate, fixed assets, construction work-in-progress, productive biological assets, oil and gas assets, intangible assets, goodwill and other long-term assets that show signs of impairment at the Balance Sheet date, should be tested for impairment. If the result of the impairment test shows that the recoverable amount of the asset is lower than its carrying amount, the impairment provision will be made according to the difference and shall be recorded in the impairment loss.

The Recoverable Amount is the higher of the net amount of the fair value of the asset minus the disposal expenses and the present value of the estimated future cash flows of the asset. Assets impairment provision is calculated and confirmed on the basis of individual assets. If it is difficult to estimate the recoverable amount of a single asset, the recoverable amount of the asset group shall be determined by the asset group to which the asset belongs. An asset group is the smallest asset group that generates cash inflows independently.

Goodwill as presented separately in the financial statements, whether or not there is any indication of impairment, is tested for impairment at least annually. At the time of the impairment test, the carrying amount of goodwill is allocated to the asset group or group of asset groups that is expected to benefit from the synergies of the business combination. If the result of the test shows that the recoverable amount of the asset group or the combination of asset groups containing the assessed goodwill is lower than its carrying amount, the corresponding impairment loss shall be recognized. The amount of impairment loss shall first be offset against the carrying amount of the goodwill allocated to the asset group or combination of asset groups, and then based on the proportion of the carrying amount of each asset other than goodwill in the asset group or group of asset groups, reduce the book value of other assets.

Once the impairment loss of assets is confirmed, no reverse can be made with any recovery amount in the future.

#### (16) Long-Term Prepaid Expenses

The Company's Long-term Prepaid Expenses refer to the expenses that have been paid but the period during which the Company receives the benefits of the expenses is over one year (excluding one year). Long-term Prepaid Expenses shall be amortized in installments in accordance to the benefit period of the expenses. If the long-term prepaid expense item cannot benefit future fiscal periods, the unamortized value of the item will be transferred to Profit and Loss of the current period.

#### (17) Employee Compensations

Employee compensation refers to various forms of remuneration or compensation provided by the Company for the purpose of obtaining services provided by its employees or for termination of the employee relationship. Employee compensation includes short-term compensation, post-employment benefits, severance benefits and other long-term employee benefits.

##### 1. Short-Term Compensations

In the fiscal period during which an employee provides service for the Company, the actual amount of the short-term compensation occurred is recognized as a liability and recorded in the Profit and Loss of the current period, except for when other accounting standards require the amount to be included in the cost of assets. Employee benefit expenses incurred by the Company are recorded in the Profit and Loss of the current period or the cost of related asset with the actual amount actually occurred. Non-monetary employee benefits are recorded at their fair value. Social insurance premiums and housing accumulation fund paid by the Company for its employees, such as medical insurance premiums, work injury insurance premiums,

maternity insurance premiums, etc., as well as trade union funds and employee education funds withdrawn in accordance with the regulations, shall be calculated in accordance with the provisions for the accounting period during which the employees provided their services, and recognize the corresponding liabilities, and recorded in Profit and Loss of the current period or the cost of related assets.

## 2. Post-Employment Benefits

During the fiscal period in which the employees provided services, the Company shall recognize the payable amount calculated based on the defined contribution plan as liabilities and record it into the Profit and Loss of the current period and record into the cost of relevant assets. Based on the formula determined by the Expected Accumulated Unit Benefit Method, the benefits and obligations accumulated in the defined benefit plan during the period in which the employees provided services, shall be recorded in the Profit and Loss of the current period or the cost of relevant assets.

## 3. Severance Policy

When the Company provides severance benefits to its employees, the employees' compensation liabilities arising from the termination are recognized as the earlier of the following dates and recorded in the Profit and Loss of the current period: a) When the Company is not able to unilaterally withdraw the severance benefits provided based on plan of termination of the employment relationship or the suggestion of termination; When the Company confirms and pays the costs or expenses related to the reorganization of the termination severance benefits.

## 4. Other Long-Term Employee Compensations

Other long-term employee benefits provided by the Company to its employees in line with the criteria for the deposit and withdrawal plans set in place shall be handled in accordance with provisions of these deposit and withdrawal plans; in addition, net debt or net assets of other long-term employee benefits shall be recognized and measured in accordance with related provisions of the defined benefit plan.

# (18) Revenue

## 1. Sales of Goods

The Company shall confirm the revenue from its sales based on the amount received or receivable stated in the contract or agreement with the purchaser, when ALL of the following conditions are met: i) The main risks and rewards from the ownership of the goods have been transferred to the purchaser; ii) the Company neither retains the right of continuous management usually associated with ownership of the goods nor

effective control over the goods sold; iii) the amount of revenue can be reliably measured; iv) the related economic benefits are likely to flow into the Company; v) The costs incurred or to be incurred can be reliably measured.

Where the contract or agreement price is collected using the deferred method and fundamentally is of a financing nature, the amount of the sales revenue shall be determined based on the fair value of the contract or agreement.

The Company's principles for the confirmation of sales revenue of its products are as follows: After the Company issues the goods and the confirm of receipt from the purchaser's side is completed, the amount of the revenue is considered as determined and the payment for the goods or the expected recoverable payment has been received, and the cost can be reliably measured.

## 2. Rendering of Services

If the result of the service provided on the Balance Sheet date can be reliably estimated, the income from the service shall be recognized using the Percentage-of-Completion Method. The Company determines the completion progress of the service based on the proportion of the cost incurred to the estimated total cost.

Where the outcome of a transaction involving the rendering of services on the Balance Sheet date cannot be estimated reliably, the following conditions shall be met: (1) If the service costs incurred are expected to be compensated, the service revenue will be recognized at the service cost incurred and the cost is recognized at the same amount; (2) If the labor costs that have occurred are not expected to be compensated, the cost of labor services incurred will be recorded into Profit and Loss of the current period, and no service income will be recognized.

## 3. Transfer of Asset Use Rights

The Company recognizes income from the transfer of the right to use the assets when it is probable that the economic benefits associated with the right to use the assets will flow into the Company and the amount of the proceeds can be measured reliably.

### (19) Government Subsidies

#### 1. Accounting for Government Subsidies Relating to Assets

Government grants obtained by the Company for the purpose of purchasing, constructing or otherwise forming long-term assets are recognized as government subsidies relating to assets. Government subsidies relating to assets are recognized as deferred income as of the date when the related assets are available for use. Based on the estimated useful life of the relevant assets, the deferred income is divided evenly and

recorded into Profit and Loss of the corresponding periods.

## 2. Accounting for Government Subsidies Relating to Income

Government subsidies other than government subsidies relating to assets are recognized as government subsidies relating to income. If the subsidies are used to compensate the Company's future expenses or losses, they are recognized as deferred income and included in the Profit and Loss of the current period during which the relevant expenses shall be recognized as well. If the subsidies are used to compensate the Company's occurred expenses or losses, they are recognized directly in Profit and Loss of the current period.

## 3. Standards to differentiate between government grants related to assets and government grants related to income

The government grants obtained by the company and used for construction or formation in other ways of long-term assets are recognized as government grants related to assets. Government grants other than government grants related to assets are recognized as government grants related to income.

If the government documents do not clearly state the objects of the subsidies, the Company shall differentiate between asset-related and income-related the government subsidies based on the following criteria: 1) If the government document specifies the project for which the subsidy is targeted, the subsidy shall be divided into amount recorded in asset-related accounts and amount recorded in income-related accounts, based on the expenditure on assets and the amount that's recognized as expenses in the project budget, respectively. This division shall be reviewed on each Balance Sheet Date; 2) if the government document only categorizes the subsidy as general use and does not specify a project, the subsidy shall be categorized as income-related.

## 4. Timing of Government Grants Recognition

Government grants measured with the amount receivable shall be recognized only when there is conclusive evidence at the end of the period that they meet the relevant conditions stipulated in the financial support policy and are expected to be received. Other than government grants measured with the amount receivable, government grants are recognized when they are actually received.

## 5. Accounting for Discount Interest Related to Concessionary Loans

1. The Ministry of Finance allocates the discount interest funds to banks that provide loans. If the banks provide loans to the Company at a policy-related concessionary interest rate, the Company uses the actual amount of borrowings received as the entry value of the loan, and calculates borrowing costs based on the loan principal and the concessionary interest rate stated in the policy.

2. If the government directly distributes the discount interest funds to the Company, the Company will offset the relevant borrowing costs by the amount of the corresponding discount interest.

(20) Deferred Tax Assets and Deferred Tax Liabilities

1. The deferred tax assets or deferred tax liabilities are recognized based on the difference between the book value of assets and liabilities and its tax base (for items that have not been recognized as assets or liabilities but its tax base can be determined in accordance to applicable tax laws, the difference is determined as the tax base), and the deferred tax assets and deferred tax liabilities are calculated based on the applicable tax rate on the expected recovery of the asset or the repayment of the liability.

2. Deferred income tax assets are recognized only to the extent that it is probable that taxable profits will be available to offset the deductible temporary differences. At the Balance Sheet date, if there is confirmatory evidence that it is probable to obtain sufficient taxable income in the future period to offset the deductible temporary differences, the deferred tax assets not recognized in previous accounting periods shall be recognized. Where it is probable that sufficient taxable income will not be available to offset the deferred income tax assets in the future, the carrying amount of the deferred income tax assets will be reduced.

3. For temporary differences tax liabilities associated with the Company's subsidiaries and associated enterprises shall be recognized as deferred tax liabilities, unless the Company is able to control the timing of the reversal of the temporary differences and it is probable that the temporary difference will not reverse in the foreseeable future. For deductible temporary differences relating to investments in subsidiaries and associates that are likely to be reversed in the foreseeable future and it is probable that future taxable income will be available to offset the deductible temporary differences amount, deferred income tax assets shall be recognized.

(21) Statement of Major Changes in Accounting Policies and Accounting Estimates

1. Statement of Changes in Accounting Policies

In 2017, the Ministry of Finance issued "Notice of the Ministry of Finance on Issuing the Accounting Standards for Business Enterprises No. 42—Non-Current Assets and Disposal Groups Held for Sale and Termination of Business Operation", which will take effect on May 28, 2017. It requires the use of the prospective application method for any non-current assets and disposal groups held for sale and termination of business on effective day.

The Ministry of Finance also revised the "Accounting Standards for Business Enterprises No. 16 - Government Grants" in 2017. The revised standards will take effect on June 12, 2017. The use of the

prospective application method is required for government subsidies that existed as at January 1, 2017. New government grants incurred during the period from January 1, 2017 to the effective date are also required to be adjusted based on this revised policy.

In 2017, the Ministry of Finance issued the “Notice of the Ministry of Finance on Revising and Issuing the Format of Financial Statements of General Enterprises” (the Ministry of Finance [2017] No. 30). Enterprises that implement the Accounting Standards for Business Enterprises shall prepare the 2017 and the future in accordance with the Accounting Standards for Business Enterprises and the notice requirements. Financial statements for the period.

The main impact of the Company's implementation of the above two policies and the Ministry of Finance [2017] No. 30 is as follows:

| Change of accounting policy and the reason                                                         | Name of Financial Statements Item Impacted | Amount impacted in the current period | Restate amount in the prior period | Extraordinary gains in the prior period | Extraordinary losses in the prior period |
|----------------------------------------------------------------------------------------------------|--------------------------------------------|---------------------------------------|------------------------------------|-----------------------------------------|------------------------------------------|
| 1. Government grants related to the Company's day-to-day activities are recognizes as Other Income | Other Income                               | 1,692,009.27                          | —                                  | 238,800.00                              | —                                        |
| 2. Change of Presentation of income from disposal of assets                                        | Income from disposal of assets             | —                                     | 3,788.80                           | 3,788.80                                | —                                        |

b. Statement of Changes in Accounting Estimates.

During the reporting period, the Company had no changes in accounting estimates.

## 4 Taxes

### (1) Types of Taxes and Tax Rates

| Type of Taxes                          | Tax Base                                                                                                                               | Tax Rate |
|----------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------|----------|
| Value-Added tax(VAT)                   | The Company uses 17% or 13% to calculated the input VAT amount, and deducts the amount allowed for output VAT and pays the difference. | 17%, 13% |
| Urban maintenance and construction tax | VAT, Operating Taxable Income                                                                                                          | 7%       |

| Type of Taxes                          | Tax Base                      | Tax Rate |
|----------------------------------------|-------------------------------|----------|
| Educational surtax and surcharge       | VAT, Operating Taxable Income | 3%       |
| Local Educational surtax and surcharge | VAT, Operating Taxable Income | 2%       |
| Corporate Tax                          | Corporate Taxable Income      | 15%      |

(2) Tax Incentives

According to the “Reply to the Record of Hubei Province’s First Group of High-Tech Enterprises” (China Torch Program [2016] No.184) jointly issued by the Hubei Provincial Department of Science and Technology, Hubei Provincial Department of Finance, State Administration of Taxation of Hubei Province, and Hubei Provincial Local Taxation Bureau, the Second-tier subsidiary Hubei Granules-Bioclause Pharmaceutical Co., Ltd. was recognized as a high-tech enterprise with a certificate number of GR201642000884 and a valid term of three years. Hubei Granules-Bioclause Pharmaceutical Co., Ltd.’s applicable Corporate Income Tax rate is 15% in Fiscal Year 2017.

## 5 Notes to Financial Statements

(1) Cash and Cash Equivalents

| Item                  | Ending Balance | Beginning Balance |
|-----------------------|----------------|-------------------|
| Cash                  | 27,988.69      | 731.27            |
| Bank Account Balance  | 29,030,360.52  | 49,868,763.34     |
| Other Monetary Assets | 2,010,000.00   | 2,200,115.50      |
| Total                 | 31,068,349.21  | 52,069,610.11     |

(2) Notes Receivable

| Item                   | Ending Balance | Beginning Balance |
|------------------------|----------------|-------------------|
| Bank's Acceptance Bill | 4,126,303.74   | 3,030,530.00      |
| Total                  | 4,126,303.74   | 3,030,530.00      |

(3) Accounts Receivable

1. Accounts Receivable by Type

| Type                                                                                                       | Ending Balance |                |                  |                |
|------------------------------------------------------------------------------------------------------------|----------------|----------------|------------------|----------------|
|                                                                                                            | Book Balance   |                | Bad Debt Reserve |                |
|                                                                                                            | Amount         | Percentage (%) | Amount           | Percentage (%) |
| Individually Significant Account Receivables for which bad debt reserve is provisioned separately          |                |                |                  |                |
| Account Receivable for which bad debt reserve is provisioned by baskets                                    | 57,810,065.61  | 100.00         | 1,735,099.96     | 3.00           |
| Account Receivables for which the amount is not significant but bad debt reserve is provisioned separately |                |                |                  |                |
| Total                                                                                                      | 57,810,065.61  | 100.00         | 1,735,099.96     | 3.00           |

| Type                                                                                                       | Beginning Balance |                |                  |                |
|------------------------------------------------------------------------------------------------------------|-------------------|----------------|------------------|----------------|
|                                                                                                            | Book Balance      |                | Bad Debt Reserve |                |
|                                                                                                            | Amount            | Percentage (%) | Amount           | Percentage (%) |
| Individually Significant Account Receivables for which bad debt reserve is provisioned separately          |                   |                |                  |                |
| Account Receivable for which bad debt reserve is provisioned by baskets                                    | 29,898,972.10     | 100.00         | 896,969.16       | 3.00           |
| Account Receivables for which the amount is not significant but bad debt reserve is provisioned separately |                   |                |                  |                |
| Total                                                                                                      | 29,898,972.10     | 100.00         | 896,969.16       | 3.00           |

## 2. Account Receivable for which Bad Debt Reserve is Provisioned by Baskets

In each basket:

| Age       | Ending Balance |                |                  | Beginning Balance |                |                  |
|-----------|----------------|----------------|------------------|-------------------|----------------|------------------|
|           | Book Value     | Percentage (%) | Bad Debt Reserve | Book Value        | Percentage (%) | Bad Debt Reserve |
| < 1 year  | 57,798,665.74  | 3.00           | 1,733,959.97     | 29,898,972.10     | 3.00           | 896,969.16       |
| 1-2 years | 11,399.87      | 10.00          | 1,139.99         |                   |                |                  |
| Total     | 57,810,065.61  |                | 1,735,099.96     | 29,898,972.10     |                | 896,969.16       |

## 2. Top Five Accounts Receivable Accounts

| No.   | Account Name           | Amount        | Age      | As a percentage of total Accounts Receivable (%) |
|-------|------------------------|---------------|----------|--------------------------------------------------|
| 1     | Granules India Limited | 23,373,709.77 | <1 year  | 40.43                                            |
| 2     | CHINOIN ZRT            | 3,808,522.62  | <1 year  | 6.59                                             |
| 3     | ZAMBON SWITZERLAND LTD | 3,101,103.59  | <1 year  | 5.36                                             |
| 4     | ZENTIVA, A.S           | 2,589,568.67  | < 1 year | 4.48                                             |
| 5     | MERCKLE GMBH           | 2,572,132.67  | < 1 year | 4.45                                             |
| Total |                        | 35,445,037.32 |          | 61.31                                            |

## (4) Pre-Paid Accounts

### 1. Pre-Paid Accounts by Age

| Age       | Ending Balance |                | Beginning Balance |                |
|-----------|----------------|----------------|-------------------|----------------|
|           | Amount         | Percentage (%) | Amount            | Percentage (%) |
| <1 year   | 2,933,203.45   | 81.50          | 2,178,128.30      | 99.52          |
| 1-2 years | 665,235.09     | 18.49          | 10,112.00         | 0.46           |
| > 3 years | 500.00         | 0.01           | 500.00            | 0.02           |
| Total     | 3,598,938.54   | 100.00         | 2,188,740.30      | 100.00         |

## 2. Top Five Prepaid Accounts

| No. | Account Name                                           | Amount       | Age               | As a percentage of prepaid amounts (%) |
|-----|--------------------------------------------------------|--------------|-------------------|----------------------------------------|
| 1   | Jingmen Langdi Water Purification Materials, Co., Ltd. | 920,000.00   | < 1 year          | 25.56                                  |
| 2   | Wuhan Sentai Environmental Co., Ltd                    | 671,701.43   | <1 year/1-2 years | 18.66                                  |
| 3   | Jiangnan Oilfield Company, Sinopec                     | 472,223.95   | < 1 year          | 13.13                                  |
| 4   | Shandong Sanqing Stainless Steel Equipment Co., Ltd    | 463,500.00   | < 1 year          | 12.88                                  |
| 5   | Shandong Shengmai Environmental Technology/ Co. Ltd.   | 218,500.00   | < 1 year          | 6.07                                   |
|     | Total                                                  | 2,745,925.38 |                   | 76.30                                  |

## (5) Other Receivables

### 1. Other Receivables by Type

| Type                                                                                                     | Ending Balance |                |                  |                |
|----------------------------------------------------------------------------------------------------------|----------------|----------------|------------------|----------------|
|                                                                                                          | Book Value     |                | Bad Debt Reserve |                |
|                                                                                                          | Amount         | Percentage (%) | Amount           | Percentage (%) |
| Individually Significant Other Receivables for which bad debt reserve is provisioned separately          |                |                |                  |                |
| Other Receivable for which bad debt reserve is provisioned by baskets                                    | 1,416,389.50   | 18.44          | 77,489.39        | 1.01           |
| Other Receivables for which the amount is not significant but bad debt reserve is provisioned separately | 6,263,503.84   | 81.56          |                  |                |
| Total                                                                                                    | 7,679,893.34   | 100.00         | 77,489.39        | 1.01           |

| Type                                                                                                     | Beginning Balance |                |                   |                |
|----------------------------------------------------------------------------------------------------------|-------------------|----------------|-------------------|----------------|
|                                                                                                          | Book Value        |                | Bad Debt Reserves |                |
|                                                                                                          | Amount            | Percentage (%) | Amount            | Percentage (%) |
| Individually Significant Other Receivables for which bad debt reserve is provisioned separately          |                   |                |                   |                |
| Other Receivable for which bad debt reserve is provisioned by baskets                                    | 1,642,986.42      | 44.46          | 72,073.94         | 1.95           |
| Other Receivables for which the amount is not significant but bad debt reserve is provisioned separately | 2,052,575.72      | 55.54          |                   |                |
| Total                                                                                                    | 3,695,562.14      | 100.00         | 72,073.94         | 1.95           |

Other Receivables for which Bad Debt Reserve is Provisioned by Baskets

In each basket:

| Age       | Ending Balance |                |                  | Beginning Balance |                |                  |
|-----------|----------------|----------------|------------------|-------------------|----------------|------------------|
|           | Book Value     | Percentage (%) | Bad Debt Reserve | Book Value        | Percentage (%) | Bad Debt Reserve |
| <1 Year   | 1,230,833.91   | 3.00           | 36,925.02        | 1,436,977.95      | 3.00           | 43,109.34        |
| 1-2 Years | 71,105.00      | 10.00          | 7,110.50         | 160,370.97        | 10.00          | 16,037.10        |
| 2-3 Years | 78,813.09      | 20.00          | 15,762.62        | 7,637.50          | 20.00          | 1,527.50         |
| >3 Years  | 35,637.50      | 49.64          | 17,691.25        | 38,000.00         | 30.00          | 11,400.00        |
| Total     | 1,416,389.50   |                | 77,489.39        | 1,642,986.42      |                | 72,073.94        |

## 2. Classification of Other Receivables based on the Nature of the Receivable

| Nature of Receivable | Ending Balance | Beginning Balance |
|----------------------|----------------|-------------------|
| Current account      | 6,263,503.84   | 2,052,575.72      |
| Imprest              | 1,093,447.23   | 180,576.00        |
| Security Deposits    | 322,942.27     | 1,462,410.42      |
| Total                | 7,679,893.34   | 3,695,562.14      |

## 3. Top Five Other Receivables Accounts

| No.   | Relationship with the Company                       | Amount       | Age               | As a Percentage of Other Receivables (%) |
|-------|-----------------------------------------------------|--------------|-------------------|------------------------------------------|
| 1     | Hubei Bioclause Heilen Pharmaceutical Co.,Ltd.      | 2,972,417.40 | < 1 year          | 38.70                                    |
| 2     | Jingmen Tianmao Chemical Industry Co.,Ltd..         | 2,623,609.32 | < 1 year          | 34.16                                    |
| 3     | Wuhan Bioclause Pharmaceutical Development Co.,Ltd. | 667,477.12   | < 1 year          | 8.69                                     |
| 4     | Kuili Zhang                                         | 494,994.23   | < 1 year          | 6.45                                     |
| 5     | Junhua Zhang                                        | 370,488.00   | <1 year/1-2 years | 4.82                                     |
| Total |                                                     | 7,128,986.07 |                   | 92.82                                    |

## (6) Inventories

| Item           | Ending Balance |                          |                | Beginning Balance |                          |                |
|----------------|----------------|--------------------------|----------------|-------------------|--------------------------|----------------|
|                | Book Balance   | Reserve for Depreciation | Carrying Value | Book Balance      | Reserve for Depreciation | Carrying Value |
| Raw Materials  | 35,575,098.88  |                          | 35,575,098.88  | 11,549,944.41     |                          | 11,549,944.41  |
| Finished Goods | 12,771,760.56  |                          | 12,771,760.56  | 11,227,781.57     |                          | 11,227,781.57  |
| Total          | 48,346,859.44  |                          | 48,346,859.44  | 22,777,725.98     |                          | 22,777,725.98  |

(7) Other Current Assets

| Item        | Ending Balance | Beginning Balance |
|-------------|----------------|-------------------|
| Current Tax | 4,354,318.15   | 326,182.91        |
| Total       | 4,354,318.15   | 326,182.91        |

(8) Fixed Assets

| Item                              | Buildings     | Machinery and Equipment | Total         |
|-----------------------------------|---------------|-------------------------|---------------|
| 1. Original Book Value            |               |                         |               |
| 1.Beginning Balance               | 16,791,055.86 | 42,559,652.85           | 59,350,708.71 |
| 2.Increase in the current period  |               | 5,248,189.78            | 5,248,189.78  |
| (1) Purchase                      |               | 5,248,189.78            | 5,248,189.78  |
| 3. Decrease in the current period |               |                         | -             |
| 4.Ending Balance                  | 16,791,055.86 | 47,807,842.63           | 64,598,898.49 |
| 2. Accumulated Depreciation       |               |                         | -             |
| 1.Beginning Balance               | 6,887,221.31  | 29,309,962.38           | 36,197,183.69 |
| 2.Increase in the current period  | 601,779.52    | 3,114,583.44            | 3,716,362.96  |
| (1) Accrual                       | 601,779.52    | 3,114,583.44            | 3,716,362.96  |
| 3. Decrease in the current period |               |                         | -             |
| 4.Ending Balance                  | 7,489,000.83  | 32,424,545.82           | 39,913,546.65 |
| 3. Provision for Impairment       |               |                         | -             |
| 1.Beginning Balance               |               |                         | -             |
| 2.Increase in the current period  |               |                         | -             |
| 3. Decrease in the current period |               |                         | -             |
| 4.Ending Balance                  |               |                         | -             |
| 4.Book value                      |               |                         | -             |
| 1.Book value, end of period       | 9,302,055.03  | 15,383,296.81           | 24,685,351.84 |
| 2.Book value, beginning of period | 9,903,834.55  | 13,249,690.47           | 23,153,525.02 |

(1) Construction Work-in-Progress

| Item                      | Ending Balance |                          |                | Beginning Balance |                          |                |
|---------------------------|----------------|--------------------------|----------------|-------------------|--------------------------|----------------|
|                           | Book Balance   | Reserve for Depreciation | Carrying Value | Book Balance      | Reserve for Depreciation | Carrying Value |
| Environmental Renovations | 7,877,393.45   |                          | 7,877,393.45   | 1,213,216.49      |                          | 1,213,216.49   |
| Total                     | 7,877,393.45   |                          | 7,877,393.45   | 1,213,216.49      |                          | 1,213,216.49   |

(2) Intangible Assets

| Item                              | Unpatented Technology | Total         |
|-----------------------------------|-----------------------|---------------|
| 1. Original Book Value            |                       |               |
| 1.Beginning Balance               | 13,130,000.00         | 13,130,000.00 |
| 2.Increase in the current period  |                       |               |
| 3. Decrease in the current period |                       |               |
| 4.Ending Balance                  | 13,130,000.00         | 13,130,000.00 |
| 2. Accumulated Amortization       |                       |               |
| 1.Beginning Balance               | 12,254,667.04         | 12,254,667.04 |
| 2.Increase in the current period  | 875,332.96            | 875,332.96    |
| (1) Accrual                       | 875,332.96            | 875,332.96    |
| 3. Decrease in the current period |                       |               |
| 4.Ending Balance                  | 13,130,000.00         | 13,130,000.00 |
| 3. Provision for Impairment       |                       |               |
| 4.Book value                      |                       |               |
| 1.Book value, end of period       |                       |               |
| 2.Book value, beginning of period | 875,332.96            | 875,332.96    |

(3) Deferred Income Tax Assets

| Item                        | Ending Balance             |                                  | Beginning Balance          |                                  |
|-----------------------------|----------------------------|----------------------------------|----------------------------|----------------------------------|
|                             | Deferred Income Tax Assets | Deductible Temporary Differences | Deferred Income Tax Assets | Deductible Temporary Differences |
| Deferred Income Tax Assets: |                            |                                  |                            |                                  |
| Provision for Impairment    | 271,888.40                 | 1,812,589.35                     | 145,356.46                 | 969,043.10                       |
| Total                       | 271,888.40                 | 1,812,589.35                     | 145,356.46                 | 969,043.10                       |

(4) Short-Term Borrowings

| Terms                                                  | Ending Balance | Beginning Balance |
|--------------------------------------------------------|----------------|-------------------|
| Deductible input tax from purchase of long-term assets | 293,223.79     |                   |
| Total                                                  | 293,223.79     |                   |

(5) Accounts Payable

| Item     | Ending Balance | Beginning Balance |
|----------|----------------|-------------------|
| < 1 year | 20,432,078.19  | 7,715,539.87      |
| > 1 year | 623,139.66     | 1,416,208.30      |
| Total    | 21,055,217.85  | 9,131,748.17      |

(6) Unearned Revenue

| Item                       | Ending Balance | Beginning Balance |
|----------------------------|----------------|-------------------|
| <1 year (including 1 year) | 8,423,359.13   |                   |
| >1 year                    | 98,124.23      | 1,418,204.76      |
| Total                      | 8,521,483.36   | 1,418,204.76      |

(7) Wages Payable

1. Wages Payable Breakdown

| Item                                                   | Beginning Balance | Amount Increased This Year | Amount Decreased This Year | Ending Balance |
|--------------------------------------------------------|-------------------|----------------------------|----------------------------|----------------|
| 1. Short-term wages                                    | 2,120,816.21      | 19,167,941.97              | 19,137,046.57              | 2,151,711.61   |
| 2. Benefit post-employment - defined contribution plan |                   | 2,573,679.14               | 2,573,679.14               |                |
| Total                                                  | 2,120,816.21      | 21,741,621.11              | 21,710,725.71              | 2,151,711.61   |

2. Short-term Wages

| Item                                                      | Beginning Balance | Amount Increased This Year | Amount Decreased This Year | Ending Balance |
|-----------------------------------------------------------|-------------------|----------------------------|----------------------------|----------------|
| 1. Salary, Bonus and Other Compensations                  | 2,013,430.00      | 16,198,979.41              | 16,309,069.41              | 1,903,340.00   |
| 2. Employee Benefits                                      |                   |                            |                            |                |
| 3. Social Insurance Expenses                              |                   | 1,237,048.3                | 1,237,048.3                |                |
| Including: Basic Health Insurance                         |                   | 1,034,138.08               | 1,034,138.08               |                |
| Work-Related Injury Insurance                             |                   | 128,783.43                 | 128,783.43                 |                |
| Childbirth Insurance                                      |                   | 74,126.79                  | 74,126.79                  |                |
| 4. Housing Accumulation Funds                             |                   | 1,288,462.00               | 1,179,670.00               | 108,792.00     |
| 5 Trade Union Operating Contributions and Staff Education | 107,386.21        | 443,452.26                 | 411,258.86                 | 139,579.61     |
| Total                                                     | 2,120,816.21      | 19,167,941.97              | 19,137,046.57              | 2,151,711.61   |

3. Defined Contribution Plan

| Item                              | Beginning Balance | Amount Increased This Year | Amount Decreased This Year | Ending Balance |
|-----------------------------------|-------------------|----------------------------|----------------------------|----------------|
| 1. Basic Endowment insurance      |                   | 2,447,216.50               | 2,447,216.50               |                |
| 2. Unemployment insurance premium |                   | 126,462.64                 | 126,462.64                 |                |
| total                             |                   | 2,573,679.14               | 2,573,679.14               |                |

(16) Tax Payable

| Types of Taxes                         | Ending Balance | Beginning Balance |
|----------------------------------------|----------------|-------------------|
| Urban Maintenance and Construction Tax | 579,585.57     | 217,997.37        |
| Property Tax                           | 45,676.68      | 45,676.68         |
| Corporate Tax                          | 1,670,326.54   | 3,472,886.84      |
| Individual Income Tax                  | 31,923.82      | 28,466.36         |
| Education Surcharges                   | 372,590.72     | 93,424.74         |
| Other Taxes                            |                | 54,935.08         |
| Stamp Duty                             | 92,960.99      | 74,144.00         |
| Total                                  | 2,793,064.32   | 3,987,531.07      |

(17) Other Payables

| Nature of Funds        | Ending Balance | Beginning Balance |
|------------------------|----------------|-------------------|
| Current Account        | 28,421.92      | 1,232,839.07      |
| Payable to Individuals | 2,114,642.24   | 2,096,744.70      |
| Insurance and Postage  | 4,775,164.74   | 1,469,963.20      |
| Other                  | 5,063,898.91   | 2,736,158.27      |
| Total                  | 11,982,127.81  | 7,535,705.24      |

(18) Deferred Revenue

| Item                          | Beginning Balance | Amount Increased This Year | Amount Decreased This Year | Ending Balance | Reason                              |
|-------------------------------|-------------------|----------------------------|----------------------------|----------------|-------------------------------------|
| Steam pipe network alteration |                   | 307,793.76                 | 35,909.27                  | 271,884.49     | Government grants related to assets |
| Total                         |                   | 307,793.76                 | 35,909.27                  | 271,884.49     |                                     |

(19) Paid-in Capital

| Investor Name                                 | Beginning Balance |                | Amount increased this year | Amount decreased this year | Ending Balance  |                |
|-----------------------------------------------|-------------------|----------------|----------------------------|----------------------------|-----------------|----------------|
|                                               | Invested Amount   | Percentage (%) |                            |                            | Invested Amount | Percentage (%) |
| Hubei Bioclause Heilen Pharmaceutical Co.,Ltd | 33,000,000.00     | 50.00          |                            |                            | 33,000,000.00   | 50.00          |
| Granules India Limited                        | 33,000,000.00     | 50.00          |                            |                            | 33,000,000.00   | 50.00          |
| Total                                         | 66,000,000.00     | 100.00         |                            |                            | 66,000,000.00   | 100.00         |

(20) Capital Surplus

| Item            | Beginning Balance | Amount Increased<br>This Year | Amount Decreased<br>This Year | Ending Balance |
|-----------------|-------------------|-------------------------------|-------------------------------|----------------|
| Capital Premium | 45,604.99         |                               |                               | 45,604.99      |
| Total           | 45,604.99         |                               |                               | 45,604.99      |

(21) Surplus Reserve

| Item            | Beginning Balance | Amount Increased<br>This Year | Amount Decreased<br>This Year | Ending Balance |
|-----------------|-------------------|-------------------------------|-------------------------------|----------------|
| Surplus Reserve | 5,154,571.41      | 2,731,280.08                  |                               | 7,885,851.49   |
| Total           | 5,154,571.41      | 2,731,280.08                  |                               | 7,885,851.49   |

(22) Undistributed Profits

| Item                                                                  | Ending Balance |                                                 |
|-----------------------------------------------------------------------|----------------|-------------------------------------------------|
|                                                                       | Amount         | Percentage of<br>Appropriation or<br>Allocation |
| Adjustment to last year's undistributed income                        | 43,011,529.52  |                                                 |
| Total Adjustment to last year's undistributed income (Add+;<br>Less-) |                |                                                 |
| Undistributed income, beginning of this period                        | 43,011,529.52  |                                                 |
| Add: Net profits belong to the parent company of this period          | 27,312,800.80  |                                                 |
| Less: Appropriation of statutory surplus reserve                      | 2,731,280.08   | 10%                                             |
| Appropriation of discretionary surplus reserve                        |                |                                                 |
| Appropriation of general risk provisions                              |                |                                                 |
| Common Dividend Payable                                               |                |                                                 |
| Common dividend converted to common equity                            |                |                                                 |
| Undistributed income, end of this period                              | 67,593,050.24  |                                                 |

(23) Operating Income and Operating Expenses

| Item                               | Current Period |                | Prior Period   |                |
|------------------------------------|----------------|----------------|----------------|----------------|
|                                    | Income         | Cost           | Income         | Cost           |
| Subtotal of Main Operating Income  | 268,590,938.85 | 211,654,305.16 | 231,432,498.03 | 175,112,065.25 |
| Subtotal of Other Operating Income | 1,374,452.20   | 1,367,954.93   | 836,973.93     | 835,588.86     |
| Total                              | 269,965,391.05 | 213,022,260.09 | 232,269,471.96 | 175,947,654.11 |

(24) Business Taxes and Surcharges

| Item                                   | Current Period | Prior Period |
|----------------------------------------|----------------|--------------|
| Urban maintenance and construction tax | 1,164,509.91   | 767,475.19   |
| Education surcharges                   | 499,078.37     | 328,917.94   |
| Local education surcharges             | 241,316.47     | 180,636.48   |

| Item                         | Current Period | Prior Period |
|------------------------------|----------------|--------------|
| Stamp duty                   | 92,960.99      | 74,144.00    |
| Property tax                 | 91,353.36      | 91,353.36    |
| Vehicle and vessel usage tax | 2,207.40       | 2,026.80     |
| Total                        | 2,091,426.50   | 1,444,553.77 |

(25) Financial Expenses

| Item                  | Current Period | Prior Period  |
|-----------------------|----------------|---------------|
| Interest Expenses     |                | 576,611.11    |
| Less: Interest Income | 183,871.09     | 409,380.33    |
| Exchange Gains        | -2,690,474.63  | 1,566,323.75  |
| Handling Charges      | 300,417.88     | 329,164.69    |
| Total                 | 2,807,021.42   | -1,069,928.28 |

(26) Asset Impairment Loss

| Item              | Current Period | Prior Period |
|-------------------|----------------|--------------|
| Bad debt expenses | 843,546.25     | -517,146.25  |

(27) Non-operating Income

| Item                                                 | Current Period | Prior Period | Related to Assets/Related to Income |
|------------------------------------------------------|----------------|--------------|-------------------------------------|
| Processing trade subsidies                           | 1,360,000.00   |              | Related to Income                   |
| Duodao District Finance Bureau high-tech reward fund | 50,000.00      |              | Related to Income                   |
| Processing trade subsidy payments                    | 20,000.00      |              | Related to Income                   |
| Employment stabilization subsidies                   | 109,100.00     |              | Related to Income                   |
| Credit Insurance subsidies                           | 117,000.00     |              | Related to Income                   |
| Steam pipe network alteration                        | 35,909.27      |              | Related to Income                   |
| Total                                                | 1,692,009.27   |              |                                     |

(28) Non-operating Income

1. Non-operating Income Breakdown

| Item              | Current Period | Prior Period |
|-------------------|----------------|--------------|
| Government Grants | 50,000.00      | 238,800.00   |
| Other             | 10,700.00      |              |
| Total             | 60,700.00      | 238,800.00   |

2. Government Grants recognized as Non-operating Income

| Item                                                        | Current Period | Prior Period | Notes             |
|-------------------------------------------------------------|----------------|--------------|-------------------|
| Famous brand award                                          | 50,000.00      |              | Related to Income |
| employment stabilization subsidies                          |                | 113,800.00   | Related to Income |
| The Special Fund for Foreign Trade and Economic Development |                | 125,000.00   | Related to Income |
| Total                                                       | 50,000.00      | 238,800.00   |                   |

(29) Non-Operating Expenses

| Item                                     | Current Period | Prior Period |
|------------------------------------------|----------------|--------------|
| Disposal loss on non-current assets      |                | 488,935.92   |
| Including: disposal loss on fixed assets |                | 488,935.92   |
| Other                                    | 25,813.05      | 182.20       |
| Total                                    | 25,813.05      | 489,118.12   |

(30) Income Tax

| Item                              | Current Period | Prior Period |
|-----------------------------------|----------------|--------------|
| Current Income Tax                | 3,333,521.13   | 4,688,529.97 |
| Adjustment to Deferred Income Tax | -126,531.94    | 226,190.88   |
| Total                             | 3,206,989.19   | 4,914,720.85 |

(31) Notes to the Cash Flow Statements

| Item                                                                                      | Current Period Amount | Prior Period Amount |
|-------------------------------------------------------------------------------------------|-----------------------|---------------------|
| 1、From Net Income to cash flows from operating activities:                                |                       |                     |
| Net Income                                                                                | 27,312,800.80         | 26,115,169.52       |
| Add:                                                                                      |                       |                     |
| Provisions for Asset Impairment                                                           | 843,546.25            | -517,146.25         |
| Depreciation of fixed assets, oil and gas assets, and productive biological assets        | 3,716,362.96          | 4,263,299.18        |
| Amortization for intangible assets                                                        | 875,332.96            | 1,313,000.04        |
| Amortization for long-term deferred expenses                                              |                       |                     |
| Losses from disposal of fixed assets, intangibles, and other long-term assets (Gains “—”) |                       | 488,935.92          |
| Losses from disposal of fixed assets (Gains “—”)                                          |                       |                     |
| Losses from changes of fair value (Gains “—”)                                             |                       |                     |
| Financial Expenses (Income “—”)                                                           |                       | 576,611.11          |
| Investment Losses (Gains “—”)                                                             |                       |                     |
| Decrease of Deferred Income Tax Assets (Increase “—”)                                     | -126,531.94           | 226,190.88          |
| Increase of Deferred Income Tax Assets (Decrease “—”)                                     |                       |                     |
| Decrease of Inventories (Increase “—”)                                                    | -25,569,133.46        | 3,245,819.93        |
| Decrease of Operating Receivables (Increase “—”)                                          | -33,557,850.44        | 17,961,853.32       |
| Increase of Operating Payables (Decrease “—”)                                             | 13,264,307.51         | 5,111,252.62        |

| Item                                                           | Current Period Amount | Prior Period Amount |
|----------------------------------------------------------------|-----------------------|---------------------|
| Other                                                          |                       |                     |
| Net cash flows from operating activities                       | -13,241,165.36        | 58,784,986.27       |
| Net cash flows from operating activities                       |                       |                     |
| 2 Major financing activities not involving cash:               |                       |                     |
| Debt to Capital                                                |                       |                     |
| Convertible bonds with an expiration period less than one year |                       |                     |
| Asset Lease to Fixed Assets                                    |                       |                     |
| 3 Changes in cash and cash equivalents:                        |                       |                     |
| Cash the end of the period                                     | 29,058,349.21         | 49,869,494.61       |
| Less: Cash the beginning of the period                         | 49,869,494.61         | 17,234,863.98       |
| Add: Cash and cash equivalents at the end of the period        |                       |                     |
| Less: Cash and cash equivalents at the beginning of the period |                       |                     |
| Changes in Cash and cash equivalents                           | -20,811,145.40        | 32,634,630.63       |

## 6 Contingencies

As of December 31, 2017, the Company had no significant contingencies that need to be disclosed.

## 7 Commitments

As of December 31, 2017, the Company had no significant commitments that need to be disclosed.

## 8 Events after the Balance Sheet Date

As of the reporting date, the Company had no events after the Balance Sheet Date that need to be disclosed.

## 9 Related Parties and Related-Party Transactions

### (1) Parent Company and Actual Controller

| Company Name                                   | Related Party Relationship | Location of Registration | Nature of Business | Registered Capital (In 10,000 RMB Yuan) | Holding Percentage (%) | Voting Right (%) |
|------------------------------------------------|----------------------------|--------------------------|--------------------|-----------------------------------------|------------------------|------------------|
| Hubei Bioclause Heilen Pharmaceutical Co.,Ltd. | Parent Company             | Jingmen, Hubei           | Pharmaceutical     | 18,000.88                               | 50.00                  | 50.00            |
| Hubei Bioclause Pharmaceutical Co.,Ltd.        | Actual Controller          | Jingmen, Hubei           | Chemical           | 494,062.92                              | 50.00                  | 50.00            |

### (2) Other Related parties of the Company

| Company Name                                        | Unified Social Credit Identifier: | Relationship with the Company |
|-----------------------------------------------------|-----------------------------------|-------------------------------|
| Granules India Limited                              | -----                             | Shareholder of the Company    |
| Wuhan Bioclause Pharmaceutical Development Co.,Ltd. | 91420100737531762C                | Controlled by the same party  |
| Jingmen Tianmao Chemical Industry Co.,Ltd..         | 91420800MA489MY661                | Controlled by the same party  |

### (3) Related-party Transactions

| Related Party                                     | Type of Transaction | Transaction          | Current Period Amount |                                  |                |
|---------------------------------------------------|---------------------|----------------------|-----------------------|----------------------------------|----------------|
|                                                   |                     |                      | Amount                | As a percentage of same category | Pricing Policy |
| Hubei Biocese Heilen Pharmaceutical Co.,Ltd.      | Sales of Goods      | Ibuprofen, Materials | 17,360,422.07         | 6.43                             | Market Price   |
| Wuhan Biocese Pharmaceutical Development Co.,Ltd. | Sales of Goods      | Materials            | 460.00                | 0.01                             | Market Price   |
| Jingmen Tianmao Chemical Industry Co.,Ltd..       | Sales of Goods      | Materials            | 968.93                | 0.01                             | Market Price   |
| Hubei Biocese Heilen Pharmaceutical Co.,Ltd.      | Purchases of Goods  | Rent                 | 3,101,131.16          | 1.46                             | Market Price   |
| Jingmen Tianmao Chemical Industry Co.,Ltd..       | Purchases of Goods  | Utilities            | 14,491,759.59         | 6.80                             | Market Price   |

### (4) Receivables from and Payables to Related Parties

| Name of related Party                            | Ending Balance |                                          |                    | Beginning Balance |                                          |                    |
|--------------------------------------------------|----------------|------------------------------------------|--------------------|-------------------|------------------------------------------|--------------------|
|                                                  | Amount         | As a percentage of same category sales % | Bad Debt Allowance | Amount            | As a percentage of same category sales % | Bad Debt Allowance |
| Other Receivables                                |                |                                          |                    |                   |                                          |                    |
| Hubei Biocese Heilen Pharmaceutical Co.,Ltd.     | 2,972,417.40   | 39.10                                    |                    | 1,292,603.95      | 34.98                                    |                    |
| Hubei Biocese Pharmaceutical Co.,Ltd.            |                |                                          |                    | 183,032.86        | 4.95                                     |                    |
| Wuhan Biocese Pharmaceutical Development Co.,Ltd | 667,477.12     | 8.78                                     |                    | 576,938.91        | 15.61                                    |                    |
| Jingmen Tianmao Chemical Industry Co.,Ltd.       | 2,623,609.32   | 34.51                                    |                    |                   |                                          |                    |
| Other Payables                                   |                |                                          |                    |                   |                                          |                    |
| Jingmen Tianmao Chemical Industry Co.,Ltd.       |                |                                          |                    | 1,232,839.07      | 16.36                                    |                    |
| Hubei Biocese Pharmaceutical Co.,Ltd.            | 28,421.92      | 0.24                                     |                    |                   |                                          |                    |

## 10 Other Significant Matters

As of December 31, 2017, the Company had no other significant matters that need to be disclosed.

Hubei Granules-Biocese Pharmaceutical Co., Ltd.

March 29, 2018

The notes to the financial statements from page 1 to page 26 are signed by the following parties:

Legal Representative

Chief Accountant

Head of Accounting Department

Signature: (Blank)

Signature: (Blank)

Signature: (Blank)

Date: (Blank)

Date: (Blank)

Date: (Blank)

THE CHINESE INSTITUTE OF  
CERTIFIED PUBLIC ACCOUNTANTS

Full Name: Liao Mei  
Sex: Female  
Date of Birth: 1987-8-11  
Working Unit: WUYIGE Certified Public Accountants.LLP  
Identity Card No.: 422202198708116608

Annual Renewal Registration

This certificate is valid for another year after this renewal

110101410199

Liao Mei 110101410199

Is verified for 2017 by

HUBEI PROVINCIAL INSTITUTE OF  
CERTIFIED PUBLIC ACCOUNTANT

HUBEI PROVINCIAL INSTITUTE OF  
CERTIFIED PUBLIC ACCOUNTANT

2015-06-23

Seal: HUBEI PROVINCIAL INSTITUTE OF  
CERTIFIED PUBLIC ACCOUNTANT

QR Code  
Scan to verify Authenticity of Certificate

Full Name: Wu Zhichao  
Sex: Male  
Date of Birth: 1970-12-09  
Working Unit: Hubei Luohua Certified Public Accountants , WUYIGE Certified Public Accountants.LLP – the Hubei Division  
ID No.: 420106701209447  
(Seal: Change of Institute)

Registration of the Change of Working Unit of a CPA

Agree the holder to transfer from  
Hubei Luohua Certified Public Accountants  
Stamp of the transfer-out Institute of CPAs  
2001-7-18  
Agree the holder to transfer to  
WUYIGE Certified Public Accountants.LLP – the  
Hubei Division  
Stamp of the transfer-out Institute of CPAs  
2001-7-18

Certificate No. : 420000694306

Authorized institute of CPAs: HUBEI PROVINCIAL  
INSTITUTE OF CERTIFIED PUBLIC ACCOUNTANT

Date of Issuance: 1999-10-10

Annual Renewal Registration

This certificate is valid for another year after this renewal

Wu Zhichao 420000694306  
is verified for 2017 by HUBEI PROVINCIAL INSTITUTE OF  
CERTIFIED PUBLIC ACCOUNTANTS

Seal: HUBEI PROVINCIAL INSTITUTE OF  
CERTIFIED PUBLIC ACCOUNTANT

QR Code  
Verify Authenticity of Certificate

Certificate No: 000407

**Accounting Firm Securities and Futures Related Operations Permit**

The Ministry of Finance of the People's Republic of China and the China Securities Regulatory Commission have examined and permitted the firm to conduct securities and futures related operations.

WUYIGE Certified Public Accountants LLP. (Special General Partnership)

Chief Partner: Hu Yonghua

Seal: Ministry of Finance of the People's Republic of China

Seal: China Securities Regulatory Commission

Certificate #: 08 Date of Issuance: 2018-01-18

Date of Expiration: 2020-1-18

**Certificate to Practice****Certificate No. 019863**

WUYIGE Certified Public Accountants LLP. (Special General Partnership)

Chief Accountant: Hu Yonghua

Business Address: The Academy International Plaza, 15<sup>th</sup> Floor, 1 Zhichun Road, Haidian District, Beijing

Type of Organization: Special General Partnership

Accounting Firm No.: 11010141

Registered Capital: RMB 33,100,000

Document No.: Beijing Accounting 2011 [0073]

Date of Issuance: 2011-09-09

**Notes**

1. Certificate to Practice is a proof that the holder is verified by the Ministry of Finance and allowed to conduct businesses as public accountants as determined by the law.
2. If there is record of changes in the Certificate to Practice, the firm should apply to the Ministry of Finance for a renewal.
3. Certificate to Practice cannot be forged, altered, rented, leased, or transferred
4. Certificate to Practice should be confiscated by the Ministry of Finance if the accounting firm ceases to operate.

Institute of Issuance:

Seal: Ministry of Finance of the People's Republic of China

2017-01-25

Made by the Ministry of Finance of the People's Republic of China

**Certificate to Operate**

**(Copy) (6-1)**

Unified Social Number: 91110108590611484C

Name: WUYIGE Certified Public Accountants LLP.

Type: Special General Partnership

Business Address: The Academy International Plaza, Suite 1504, 1 Zhichun Road, Haidian District, Beijing,

Partners: Hu Yonghua, Wu Weixing

Founded: 2012-03-06

Term: 2012-03-06 to 2112-03-05

Operation Scope: Audit companies' financial statements and issue auditor's reports; Verify capital, issue verification reports; Conduct audit operations related to M&A, carve-out, liquidation events, and issue related reports; Bookkeeping, Accounting advisory, Tax advisory, Management advisory, Accounting training; Other operations as guided by law. (Companies choose the scope of their operation and conduct business operations; Companies can conduct operations that require permission by the law after they are permitted by the law; Companies shall not conduct operations that are not allowed or restricted by policies in the industry.)

Institute of Registration: Beijing Administration for Industry, Haidian District Division

2018-01-25

QR Code

Scan to acquire detailed information

Note: every year from January 1 to June 30, the institute report and publish information from last year through the enterprise credit information publishing system

*[Seal: WUYIGE Reports Appendix Pages]*